



## SIDDHARTHA ROY

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There are two key drivers of growth in the Budget. One is consumption-led growth by bringing down the tax rates and the other is the expenditure on infrastructure.

Roy: The real problem in minerals is about implementation. The problem in coal is when you get the land it is mostly forest land and there is no rehab policy. We need a broad mineral policy.

Goyal: There is no revision, it's just continuity. There was fiscal stimulus in the last budget and now there is consolidation. I think the main weakness is the absence of implementation. There are lots of bills pending so all these could have been collected and one thing, given the circumstances for food inflation, I think opening up of food retail, doing something about the huge retail margin and something specific to address it would have been really welcome. There are crises in many areas which require reforms—reducing bureaucratic



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cost, hurdles and delays. These are issues the Economic Survey flagged and they are very important.

Dev: The budget flags many issues but the action plan is missing. If I take agriculture, the four points are good but there is no backing up with those points. He spoke about farm gate to kitchen plate and pricing issues but the initiative on curbing post harvest wastage, on promoting retail and cold chains could have been bolder. Also clarity on issues like bio-tech. Technology is one area where productivity can be increased.

That is missing in the Budget.

Kumar: I don't see a signature line in this budget. There are so many things he could have done like agriculture entry of retail. He could have tackled agriculture extension and revamped the sector. He could have incentivised agriculture. In indirect taxes, he could have cleaned up the act, set customs duties to 7.5 per cent. He hasn't done anything big. Perhaps that's not his style but there are so many things left. My pet peeve is education. On education reforms, the sense is, it is up to Kapil Sibal to initiate change. But the finance minister could have used the opportunity to announce a scheme for teacher training at all levels, particularly at secondary, vocational and higher. He talked about skill development and said 25 crore people would be trained by 2040 but left me short on details. I am actually left feeling that this was an opportunity missed in terms of doing structural reforms. At least taking up one or two, completing it and saying that this is the course we will take. This is an opportunity missed because this was the Budget which was free from practically all constraints. The global situation is improving, domestic political situation is in your favour, you are recovering economically, people are with you; he could have done it. I don't see why he hasn't done it.

Debroy: Given his style and given the constraints, I did not expect any big-bang reforms within the budget. All the pension, insurance, retail I didn't expect there in the budget speech; even education, let them happen outside. What I did expect the finance minister to do was to address two things which are in proper budget domain. One is taxation and second is expenditure. On taxation, of course, there is GST and indirect tax code but I want to underline that there is too much of tinkering on indirect taxes. There has been no attempt to clean it up. So I think that is a big omission. Second thing, there should have been attempts to make public expenditure much more efficient. And except for this nutrient based fertiliser, which is an old thing, there is absolutely nothing. There is reference to the administrative reforms commission. The budget speech says that 800 recommendations have been chosen for implementation but doesn't mention that 5,000 recommendations have been rejected.

*with Nivedita Mukherjee and Nandini Vaish*